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Victorian Opposition Fiscal Strategy: An Assessment

This paper assesses the Victorian Opposition's fiscal strategy, which aims for a surplus by 2032 and ignores Victoria's underlying fiscal health. It finds the centrepiece measure—$22 billion in savings from a public sector "back office" hiring freeze—unachievable. Such savings would require elimination of around 31,700 jobs, much more than back office staff, and could push unemployment toward 5.4%. The Opposition's cost-of-living spending proposals are largely uncosted and would chiefly benefit higher-income households.

Discussion paper

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The Australia Institute – Research that matters

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Summary

The fiscal strategy outlined by Victorian Opposition Leader Jess Wilson is based on returning the state budget to cash surplus by 2032 while claiming to deliver cost-of-living relief and reducing debt. This paper analyses the size of that task and the options for achieving it.

The Victorian budget is currently projected by Treasury to run cash deficits of between $7 and $8 billion annually over the forward estimates. These deficits are driven primarily by capital investment rather than recurrent spending. Importantly, the government's operating activities — its ongoing revenues and expenditures — are projected to remain in surplus, and Victoria's net worth is forecast to grow from around $183 billion to $216 billion by 2029-30.

Importantly, the cash deficit position of the Victorian Government that has become an object of concern for many political analysts should not be of concern to any financial analysts familiar with the cash flow statements and balance sheets of any large corporation that was borrowing to fund the long-lived assets required to drive future growth.

This paper finds a key Opposition savings measure to be either unsubstantiated or unachievable, namely: The claim of saving $22 billion through a public sector back office hiring freeze is found to be implausible. Apart from announcing “a hiring freeze on back office roles” there is no further detail from the Victorian Opposition but achieving that level of savings would require eliminating around 31,700 positions by 2036-37. That would be over half the entire Victorian Public Service headcount of 58,169 (excluding statutory authorities, corporations, schools, hospitals) and is well beyond any reasonable definition of "back office roles."

The macroeconomic consequences of such public sector job shedding could be an increase in Victoria’s unemployment rate to 5.4%, up from a projected baseline of 4.75% and in turn a significant reduction in consumer spending with flow on impacts to Victorian businesses.

Many of the remaining proposals from the Victorian Opposition — including payroll tax relief for private schools and GPs, stamp duty exemptions for first home buyers, and land tax relief — are either too vague to cost reliably and/or are unlikely to deliver meaningful cost-of-living benefits to ordinary households. Energy policy proposals involve reverting to fossil fuel dependence without substantive engagement with energy security challenges.

The analysis concludes that the Opposition's path to surplus relies overwhelmingly on measures that cannot deliver the savings claimed. The fiscal strategy as presented contains a substantial "black hole," and the contractionary effect of genuinely achieving a surplus which would require withdrawing approximately $8 billion annually from the Victorian economy.

Introduction

The purpose of this paper is to examine the Victorian Opposition fiscal strategy as outlined by the Leader of the Opposition, Jess Wilson.[1] Her plan is to:

- Return the budget to cash surplus[2] by 2032
- Reduce the debt and interest burden
- Deliver cost of living relief
- Make Victoria the best place to do business
- Drive investment and jobs
- Payroll Tax relief
- Exempt first home buyers from Stamp Duty up to $1 million
- Land Tax relief
- Unlock housing supply and reform planning
- Restore energy security and reduce costs
- Shift infrastructure to local priorities
- Hiring freeze on back office roles to guarantee essential services

Before going through this plan in detail, it is worth noting immediately that any program that might achieve the first two dot points would necessarily involve very large cuts to government programs, cuts with significant impact on consumer spending and unemployment. But before evaluating the specific proposals the paper first provides an overview of fiscal indicators to give an overall summary of Victoria's fiscal position.

[1] Wilson J (2026) *A Fresh Start for Victoria: Our Ten Year Plan to Secure Victoria's Economic Future* at https://vic.liberal.org.au/Uploads/37417316674975808NRT_vicliberal/2026-Policy-Economic-Future.pdf

[2] A "cash surplus" means there is more cash coming in as tax etc than going out as spending. It is a simple measure of a budget balance that does not include provisions for depreciation on capital goods or new staff leave obligations for example. In this paper we follow the Opposition example and rely on Victoria's cash budgeting.

Victoria's fiscal health

Table 1 summarises the recent Victorian budget which shows planned financial flows over the forward estimates, the years 2026-27 to 2029-30. We use the same names for the items as are given in the Victorian Budget Paper No 5 so that figures in this paper can be verified by reference to that source.

It is important to highlight that while standard private sector accounting does not treat large expenditures on long lived assets (such as private hospitals, private toll roads or private schools) as an 'expense' to be deducted from that year's revenue, combining recurrent expenditure (eg wages) and infrastructure investment (eg building a hospital) has become common when state and federal government budgets are being described. To be clear, while no person who bought a house, spending more than they earned in the same year, would be described as "living beyond their means", that is exactly how state governments spending large amounts of money on infrastructure are commonly described in Australia.

Leaving aside the confusion that comes with the conflation of recurrent and capital expenditure, what is clear from the Victorian Budget Papers is that if the Victorian Opposition was to achieve their goal of delivering a 'cash surplus' by 2032 they will need to reduce annual expenditure (either recurrent or capital) by around $8 billion per year.

Table 1 shows expected total receipts of $115,619 million in 2026-27, that includes taxes worth $43,888 million, grants of $56,365 million and other revenues of $11,366 million.

The next item in Table 1 is payments of $109,142 million which are recorded as a negative because they represent an outflow of money.

The next line item is "Net cash flows from operating activities" from the budget papers and which is obtained by subtracting all payments from receipts. This is the outcome which reflects ordinary on-going spending and revenue on the part of government and excludes investments in long-lived assets such as infrastructure. This operating result can be either in surplus or deficit. If in deficit it would be shown as a negative number but in the table the figures for this item are all positive indicating that the net cash flows from operating activities are all surpluses. The surplus figures here mean the Victorian government covers ordinary government spending out of its revenue.

On the following line in Table 1 we have "Net cash flows from investments in non-financial assets" this is basically the Victorian government's investment in roads, buildings such as schools and hospitals, bridges and a host of other capital works. Planned expenditure under this category is $14,181 million in 2026-27.

The literal bottom line is the overall result which is a cash surplus or deficit with deficits represented by negative figures. In Table 1 there is a deficit for 2026-27 of $7,704 million. Deficits are often depicted as 'unsustainable', but just like the person who buys a house and in turn spends more than they earn that year, the Victorian Government will be in deficit because it has financed 46% of 26-27's investment spending with its operating surplus and 54% through deficit financing or borrowing.[3]

Put another way, the Victorian budget papers show how that the government will deliver an operating surplus of $6.477 billion this year and fund 46% of its capital program with recurrent funding.

Table 1: Summary Victoria general government sector cash flow statement, $m

The Australia Institute Research that matters.	*2026-27*	*2027-28*	*2028-29*	*2029-30*
	budget	*estimate*	*estimate*	*estimate*
Total receipts	115,619	116,006	119,858	124,104
Total payments	-109,142	-109,714	-113,407	-117,566
Net cash flows from operating activities (receipts minus payments)	6,477	6,291	6,451	6,538
Net cash flows from investments in non-financial assets	-14,181	-13,410	-14,033	-14,612
Proportion of investment financed from operating surplus	46%	47%	46%	45%
Cash surplus/(deficit)	-7,704	-7,119	-7,582	-8,074

Source: Victorian Government (2026) Statement 5: Strategy and Outlook 2026-27

One of the critical insights we draw from Table 1 is that line 3, net cash flows from operating activities are projected to run surpluses in the future as they have in the past.

This is important. The result of operating activities is the equivalent to a private business's profit and loss statement and, clearly, business aims to operate at a profit. The other main insight is that the budget surplus covers almost half of the total cost of the investment in

[3] The overall deficit is the amount that either the government or the homebuyer has to finance by drawing down a bank balance/s or borrowing or a bit of both.

long-lived assets that Victoria will undertake over the forward estimates. Hence borrowing by issuing debt will only be needed for just over half the planned investment in infrastructure and public buildings.

The 'bottom line' in Table 1 shows the amount that needs to be borrowed, but this figure is not proof that Victoria is living beyond its means, on the contrary, it is equivalent to saying that a home owner who bought a new house only needed to borrow 46% of the value of the whole house. In this respect Victoria is much the same as a major Australian company like BHP which finances much of its investment through borrowing while still reporting an 'operating surplus'.

While Table 1 shows us where the revenue is coming from and where the expenditure is going (including drawing the important distinction between investment and recurrent expenditure) Table 2 includes two very important fiscal indicators; total assets and net worth. Notice that Table 2 includes the general government sector and also all other government instrumentalities such as the state housing authority, water, transport and other authorities. This gives a comprehensive overview of the Victorian Government's position.

Table 2: Other fiscal indicators for the State of Victoria, $billion

The Australia Institute Research that matters.	2026-27	2027-28	2028-29	2029-30
	budget	*estimate*	*estimate*	*estimate*
Total liabilities (including debt)	391.8	407.7	425.0	442.4
Total Assets	690.8	717.6	751.5	777.1
Victoria's net worth	**299.0**	**309.9**	**326.5**	**334.7**

Source: Victorian Government (2026) Statement 5: *Strategy and Outlook 2026*-27, table 5.10.

Debt is often cited by critics of the Victorian Government who focus on one side of the balance sheet, the debt. Concentration on the stock of debt means people are distracted from the simple fact that the value of public sector assets is growing far faster than public sector debt.

Examining the last two rows of Table 2 shows total assets are growing rapidly and will increase by $86 billion to reach $777 billion by 2028-29. These assets provide a strong foundation for the economic growth and general prosperity of Victoria.

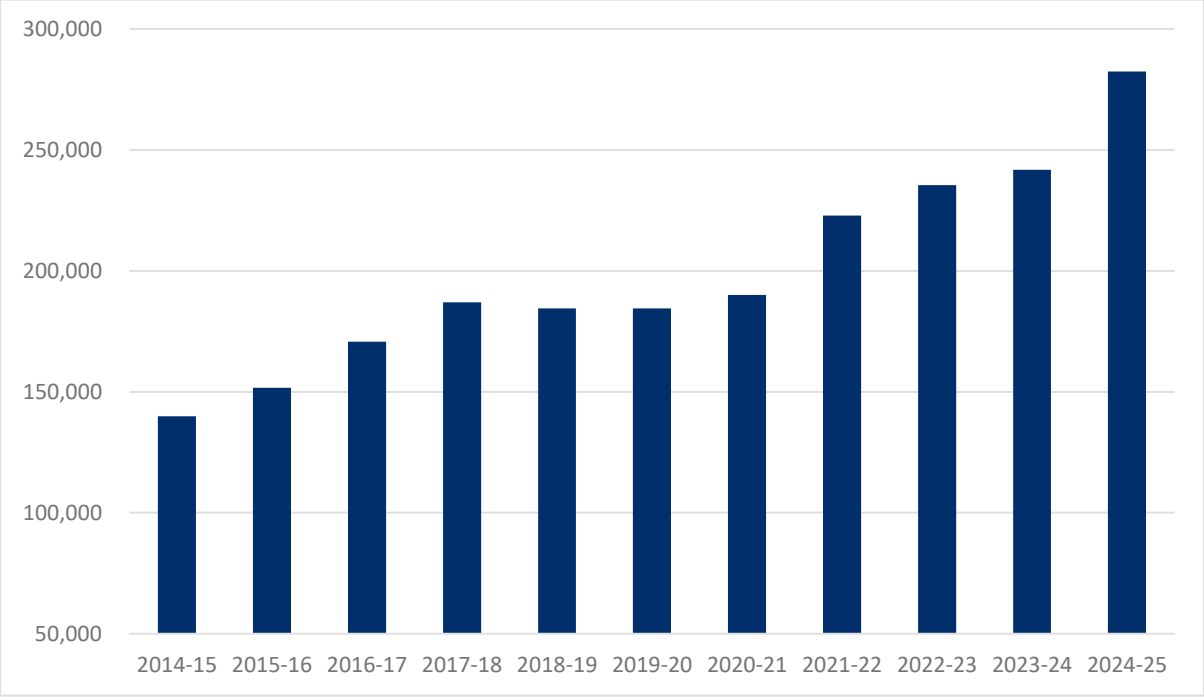
The last row, drawn directly from the Victorian Budget Papers, shows clearly that when changes in debt and changes in assets are both considered at the same time, the net financial position of Victoria is improving strongly.

To be clear, if a private company reported that its assets were growing far faster than its debts then its share price would likely rise rapidly and its CEO would receive a bonus.

However, in Australia it is rare to hear political analysts of financial documents focus on the "total assets" or "net worth" bottom line shown in Table 2. According to the Victorian Budget papers because the Victorian government is investing far more in infrastructure than it is borrowing, the states' net worth is expected to increase by over $36 billion dollars in the next 4 years, that is an increase of more than $4,500 per Victorian resident.

Previous experience also indicates that assets and net worth have been growing rapidly. Figure 1 shows how the net worth of the Victorian state government has grown since the Labor government was elected November 2014. These figures are compiled by the Australian Bureau of Statistics[4] and are not directly comparable with the figures published by the Victorian Treasury.[5]

Figure 1: Victoria net worth $m



Source: ABS (2026) *Government Finance Statistics, Annual*

[4] ABS (2026) *Government Finance Statistics, Annual* at https://www.abs.gov.au/statistics/economy/government/government-finance-statistics-annual/2024-25

[5] In 2024-25 the ABS valued equity investments at $187,780 million while Victorian Treasury gave their estimate of $100,663 million for what seems to be the same type of equity investment.

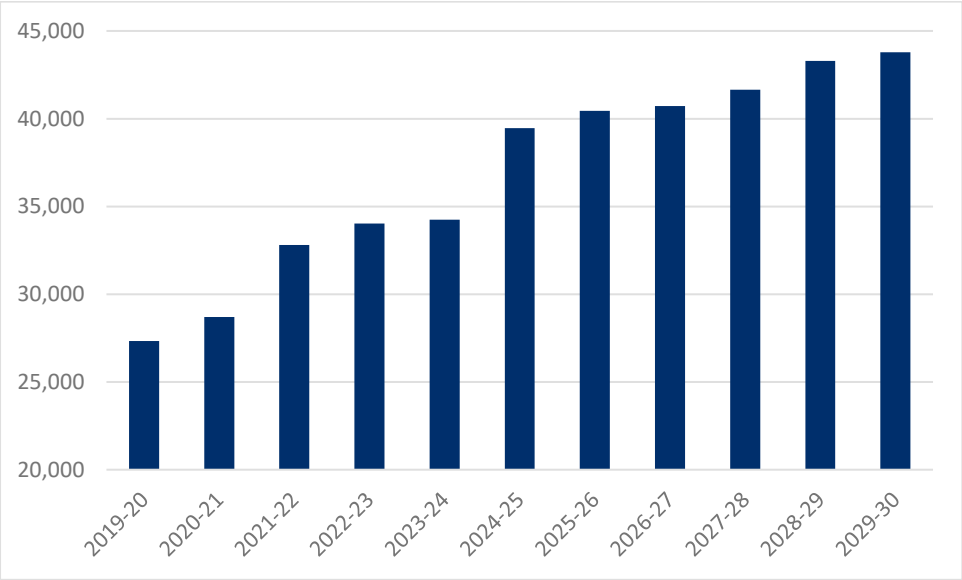
Figure 1 shows that Victoria's net worth has been increasing over a long period of time and has doubled over the 10-year period 2014-15 to 2024-25. These figures represent the cumulative value of the capital works of the Victorian Government, investments that fund the infrastructure, public buildings and other long-lived assets on which Victoria's rapidly growing economy and population depend.

Since 2014-15 in Victoria:

- The total value of Victoria's gross state product (GSP) has increased from $383 billion to $637 billion (66%);
- Population has increased from 5.96 million in the December quarter 2014 to 7.12 million in December 2025, a 20% increase.
- Output per hour worked (a common measure of productivity) has increased from $79.10 to $105.90 a 34% increase.[6]

It is also useful to examine the figures on a per capita basis. Figure 1 shows how Victoria's *per capita* net worth has behaved over the last 7 years and how it is expected to behave through to 2029-30.

Figure 2: Victoria: Per capita net worth, $.



Sources: Victorian Government (2026) Statement 5: *Strategy and Outlook 2026*-27 and same for earlier years to obtain actual data when known. Population estimates based on ABS figures for December each year and projections based on Australian Government (2026) Budget Paper No 3: Federal Financial Relations, 2026-27 https://budget.gov.au/content/bp3/index.htm

Some commentators are fond of calculating the per capita debt figure. However, less often reported are the much higher figures for per capita net worth at $40,442 at 2025-26 or

[6] Author's calculations based on ABS, *Labour Force* and ABS, *Australian National Accounts: State Accounts.*

indeed, total assets at $73,204 per Victorian resident.[7] Each of these are expected to grow quite rapidly in line with the net worth projections in Figure 2.

The rapid expansion in population, productivity and GSP would simply not have been possible without the $214 billion spent on capital works over the period 2015-16 to 2024-25.[8] While the stock of public debt has increased over this period, net assets and in turn the productive assets of the state have grown far faster.

MAKE VICTORIA THE BEST PLACE TO DO BUSINESS

The Opposition's fiscal strategy document says it wants to make Victoria the best place to do business. It complains about a lack of confidence and says the fiscal position is out of control. Bizarrely, while the Victorian Opposition talks of the need to boost confidence in the state, it is the Opposition that is (knowingly or unwittingly) talking down the fiscal position of the state rather than talking up Victoria's positive attributes.

Melbourne always seems to do well in terms of global rankings among cities in the world and in 2026 topped *Time Out's* ranking.[9] In the 2025 Oxford Economics Global Cities Index, Melbourne scored 6th, beaten by just New York, London, Paris, San Jose and Seattle. The Oxford rankings are based on economics, human capital, quality of life, environment, and governance.[10] The most recent, the Global Liveability Index published by the Economist Intelligence Unit had Melbourne third after Copenhagen and Vienna and outscoring other Australian cities.[11]

These rankings suggest Victoria is already doing many things right. Invest Victoria emphasises other rankings that put Melbourne at number 1 in Australia for liveability and 4th in the world.[12]

In the following sections we grapple with the more specific proposals presented by the Opposition in their quest for a budget surplus. It will become apparent that, in particular,

[7] Total assets here are the total non-financial assets which includes everything from computers to roads to intellectual property but excludes financial assets such as deposits with banks.

[8] Uses general government gross fixed capital formation at chain volume measures based on ABS Aus*tralian National Accounts: State Account*s.

[9] Glynn L (2026) "BREAKING: Melbourne has been crowned the best city in the world for 2026", *Time Out* 11 March at https://www.timeout.com/melbourne/news/breaking-melbourne-has-been-crowned-the-best-city-in-the-world-for-2026-031126

[10] Oxford Economics (2025) *Global Cities Index 2025* at https://www.oxfordeconomics.com/global-cities-index/

[11] New Daily (2026) "Australian cities ranked among world's most liveable in 2026 – but which is best?" *The New Daily*, 8 July at https://www.thenewdaily.com.au/life/2026/07/08/2026-most-liveable-cities

[12] Invest Victoria (2025) "Melbourne ranks #1 in Australia for liveability – and #4 in the world", at https://www.invest.vic.gov.au/news-and-events/news/2025/june/melbourne-ranks-1-in-australia-for-liveability-and-4-in-the-world

the Opposition relies on its big-ticket item, namely saving $22 billion savings from a proposed hiring freeze on back office roles to achieve most of their ‘goals’.

Specific measures:

SAVING $22 BILLION BY "A HIRING FREEZE ON BACK-OFFICE ROLES".

This item is reminiscent of the federal Opposition campaign in 2025 in which they anticipated cutting 40,000 public servants based in Canberra.[13] That policy showed signs of being poorly thought out. At the Commonwealth level in 2013 then Opposition leader, Tony Abbott, promised to cut public servant numbers by 12,000.[14] Numbers duly fell from 179,953 in 2012-13 to 166,261 in 2014-15.[15] However, the indications are that the decline in public servant numbers was accompanied by a massive increase in contracting out and labour hire employment[16] which would have meant the overall effect was an increase in spending.

To save $22 billion on public servants who likely receive average annual pay of around $100,000 you would have to abolish around 175,000 public service year jobs which would appear to be a big task.

In Victoria ABS figures show there were 493,200 state public servants being paid $45.7 billion in 2024-25.[17] These include those public servants working in bureaucracies who are presumably the focus of the Opposition. But that figure also includes the teachers, doctors, nurses, policemen, fire fighters and a host of other essential service providers that the Opposition says are safe from staff cuts. To save $22 billion in steady increments over the 10 years to 2036 would require much lower public servant numbers, a reduction of 31,700 staff by 2036-37 on our estimates and would certainly not produce a surplus by 2032. Our modelling is contained in an appendix to this paper.

There are other insurmountable problems with the Victorian Opposition's plans. The Victorian Public Service Commission says that there were 58,169 people employed in the

[13] Chrysanthos N and Ireland O (2025) "Coalition takes aim at public servants as Dutton looks to cut 40,000 jobs", *Sydney Morning Herald*, 26 March. Total public service numbers in Canberra were just 110,000.

[14] Jericho G (2013) "Crunching the numbers: Abbott's public service cuts", *ABC News*, 2 October.

[15] Australian Government (2026) *Budget Paper No 4: Agency Resourcing*, 12 May.

[16] Gallagher K (2024) "Labor to achieve and additional $1 billion in savings from consultants and contractors", Minister for Finance press release 5 May at https://www.katygallagher.com.au/media-centre/media-releases/labor-to-achieve-an-additional-1-billion-in-savings-from-consultants-and-contractors/

[17] ABS (2026) Public sector employee jobs and cash wages and salaries, at https://www.abs.gov.au/statistics/labour/employment-and-unemployment/public-sector-employment-and-earnings/2024-25#data-downloads

public service as distinct from 335,494 people employed in Victorian public entities. In regard to the latter the Commission says:

> Examples of public entities include public health services, government schools, TAFEs, police and emergency services, water and land management bodies and other statutory authorities and state-owned corporations.[18]

We assume a central government would not interfere with the management of independent authorities, corporations and essential services which means the cuts by 2036-37 of 31,700 would almost eliminate all the staff in the public service and would necessarily include much more than just "back office roles". In short, the public service would have to almost disappear.

Given the above considerations, savings of $22 billion over 10 years by cutting 'back office' roles could almost certainly never be achieved. The Opposition also promises to achieve a budget surplus by 2032. However, if the incremental staff cuts are made evenly over the next 10 years then the cuts would only be contributing savings worth $1.9 billion in 2031-32 or $2.3 billion in 2032-33. Current projections are that the budget deficit will be around $8 billion in 2029-30. If the forward estimates were extended to the early 2030s it is likely that they would still show similar projections consistent with recent trends in the operating surplus and trends in the investment program. So any contribution from staff cuts would be woefully inadequate if the aim is to produce a surplus. And, critically, this assumes that the Opposition in government would not find it necessary to contract out services or take on labour hire staff.

The Opposition would appear to rely on this measure to do a lot of the heavy lifting in reaching a surplus and, as such, it represents the "black hole" in their costings. If their targets could be achieved, our projections indicate that such a policy is likely to lead to either

- an unemployment increasing by 31,700 to 5.4% by 2036-37 or
- an equivalent reduction in the workforce participation rate or
- some combination of the two.

Again our modelling and assumptions are set out in an appendix.

The $22 billion hiring freeze was by far the biggest initiative in the Opposition's fiscal strategy, we now turn to the rest of the Opposition policies.

[18] Victorian Public Service Commission (2026) Number of employees 2025, at https://www.vpsc.vic.gov.au/public-sector-data/workforce-data-state-public-sector-2025/employee-and-executive-numbers-2025/number-employees-2025

1. RETURNING THE BUDGET TO SURPLUS

The specific measures referred to under this heading are the following:

- Ending Labor's waste, such as $13 million spent on machete bins and $200,000 on pot plants for the Suburban Rail Loop Authority.
- Saving $22 billion by implementing a hiring freeze on back office roles to ensure funding reaches the essential services that Victorians rely on.
- Saving $1 billion over the next 10 years by repealing Labor's Treaty process and First People's Assembly.
- Saving $20 million over a decade by capping excessive public service salaries.
- Using windfall revenue to pay down debt, not increase spending.
- Fixing infrastructure delivery and ending cost blowouts that have become routine rather than the exception.
- Shifting from debt funded megaprojects to local, community focused infrastructure that delivers real value.

The first item "ending waste" is trivial and is simply lost in rounding errors, with $13 million accounting for just 0.01% of Victorian Government spending.

The next big item, "Saving $22 billion by implementing a hiring freeze", has already been discussed above.

Saving $1 billion over the next 10 years by repealing Labor's Treaty process and First People's Assembly

This $1 billion seems very high given there have been no new initiatives announced in recent budgets that come close to this figure. We do know that the $1 billion estimate has

been criticised.[19] New spending would be required to replace some of the work done under this heading.

More fundamentally it seems misguided to talk about abolishing functions in this area. Instead, a political party with a pro-business/entrepreneurial background might want to consider how to encourage business initiatives that might promote indigenous culture and develop tourism around such initiatives.

Smaller measures

Other items that were mentioned in the section “Returning the budget to surplus” are not able to be valued. For example, using windfall revenue to pay down debt is meaningless unless the Opposition can specify some future event that will raise additional revenue which they intend saving. Announcing saving of $20 million over a decade by capping excessive public service salaries may be good politics but is trivial in a budget with spending of $123 billion.

The Coalition points to alleged corruption and hints at some savings but without any detail that might be evaluated.

The Coalition has also promised some new spending which is documented below. The new spending will necessarily involve either further cuts to existing programs or increases in taxes or some combination of the two.

[19] Dunstan et al (2026) “Victoria's treaty leaders have been elected. Here's how the new structure will work”, ABC News, 9 May at https://www.abc.net.au/news/2026-05-09/victoria-treaty-what-is-it-first-peoples-assembly-co-chairs/106649758

2. REDUCING COST OF LIVING

One of the Opposition's aspirations, *Deliver[ing] cost of living relief*, would necessarily be expensive. According to the Australian Bureau of Statistics, Victorian household consumption expenditure was $363.3 billion in 2024-25. Based on the official budget forecasts for economic growth and inflation we expect consumption to be $402 billion in 2026-27 and $465 billion in 2029-30.[20] Those figures suggest "cost of living relief" will be expensive and that, for example, a 1% reduction in consumer costs would be the equivalent of $4 billion in 2026-27 rising to $4.7 billion in 2029-30. Costs like those imply spending that would add around 50% to the budget deficit.

Put another way, every 1% reduction in consumer costs funded by the Victorian Opposition could require up to 30,000 extra public sector jobs to be cut in order to maintain budget balance. That estimate is conservative since it assumes that there are substantial other costs involved in employing staff.[21]

When we turn to the detail of this expenditure item the content available is thin, to say the least.

This item includes tax cut items that could be costed in principle. The specifics mentioned are:

- Scrapping the Emergency Services Tax on the family home.
- Exempting first home buyers from Stamp Duty up to $1 million.
- Land Tax relief
- Abolishing the Schools Tax.
- Removing the GP Tax.

It has to be said that this is a peculiar set of policies that are supposed to address cost of living issues, and as each is currently a source of revenue their abolition would either increase the budget deficit or, as above, require additional job cuts. Each of the measures is discussed below.

[20] These estimates are based on the ABS figure for 2024-25 and projected forward using the official estimates in the Victorian Government (2026) Statement 5: *Strategy and Outlook 2026*-27, p 17 at https://s3.ap-southeast-2.amazonaws.com/vicbudgetfiles2026.27vicbudget/2026-27+State+Budget+-+Strategy+and+Outlook.pdf

[21] Those other costs include items such as workers compensation insurance, leave loadings, and super contributions.

Housing

The first two items assist homeowners and some new home buyers who are currently not eligible for assistance with stamp duty. No costing is provided.

The land tax is mentioned – but this is currently not payable on the family home, farms and charitable institutions[22], so only the corporate sector and those people with properties in addition to their main family residence would appear to benefit from this measure.

Payroll tax

The last two of the items under cost of living are payroll tax reductions for some private schools and GPs. There is no guarantee that the savings to these employers will be passed on to consumers. And if they do pass on the savings, the benefits will go to:

- parents with children at the most exclusive private schools (with an income per student of $16,397 or above) and
- sick people who are not being bulkbilled.

Total for cost of living measures

We mentioned above that serious measures with cost of living in mind would be very expensive if they were to have any impact. We think the above measures would have little impact on most people but would be relatively expensive.

4. SUPPORTING BUSINESS TO GROW OUR ECONOMY

The main elements here are:

- Deliver payroll tax relief to Victorian businesses.
- Reduce the burden of land tax.
- Reduce red tape that slows investment and stifles innovation.
- Drive investment and jobs.

These are vague and cannot be considered specific enough to include in any budget analysis. There are some specific details on payroll taxes in the section on cost-of-living measures. However, it should be noted that doing anything significant in these areas will necessarily be expensive. Hence, to make a significant impact it would require expensive changes. Again,

[22] State Revenue Office. *Understanding land tax* at https://www.sro.vic.gov.au/owning-property/land-tax/understanding-land-tax

these items, if implemented would either add to budget deficits or involve further cuts in public services and staffing.

5. BUILD MORE HOMES TO MAKE HOME OWNERSHIP MORE AFFORDABLE.

This measure includes:

- Exempt first home buyers from Stamp Duty up to $1 million.
- Expand the Capital City Zone to support sensible density.
- Release land in growth areas.
- Scrap government regulations that are stopping home building in greenfield areas.
- Stop the delays in the planning process and set a clear timeframe for approvals.

Only the first item on this list can potentially be costed though no costing or other detail is provided by the Opposition. Otherwise some of these proposals seem deliberately designed to enrage various resident action groups. For example, it would be important to know which suburbs are to be subject to higher housing density which means more flats and apartments.

6. INVESTING IN PEOPLE

This includes two items

- Equip Victoria for the future with advanced jobs in manufacturing and technology.
- Align training with the needs of industry.

At the moment these are just headings with no content. Any initiatives under these headings will imply bigger deficits or more job cuts.

7. DELIVERING LOCAL INFRASTRUCTURE

Once again the Opposition provides headings but without content when it says they will:

- Ensure transparency on every project to deliver value for money.
- Introduce an open and honest prioritisation framework.

- Focus on local roads, local congestion, and local services.
- Ensure Growth Area Infrastructure Contributions are re-invested into the local communities from which they are raised.

There is a suggestion that the Opposition might divert activity in the major projects, such as the rail loop, and towards local and smaller projects. But there are no costings or other detail.

It is likely that the major projects have contracted arrangements and cannot be easily halted or slowed mid construction. Any such delay may well add significant additional costs to these projects. Breach of contracts can be expensive and involve lengthy litigation. So if the Opposition are genuinely thinking about new local spending it will not be easily funded by diverting resources from major projects.

Doing anything in this area is likely to be expensive but the Opposition offers no tangible proposals to be costed.

8. ENSURING ENERGY SECURITY

Under this heading we have the two items

- Remove the gas ban.
- Reopen Victoria to gas exploration.

Energy security is a serious issue yet all we are offered is nostalgia for an earlier emphasis on fossil fuels. Furthermore, expanding gas supply will have little or no impact on Victorian prices because gas prices are set in the world market.

Opposition commitments

In this section we bring together all the Coalition spending commitments that seem likely to involve spending. In most cases it is not possible to refer to specific Coalition descriptions of their policies or cost estimates. But commitments to additional police and security guards can be costed based on ABS figures for average incomes and assuming 50% extra in on-costs. In addition to estimates for annual and other leave, and workers' comprehensive insurance, there is also the need for additional rental accommodation and the associated property related costs, equipment and so on. Our estimate is therefore very conservative.

Unless otherwise indicated, this list is based on Victoria's Parliamentary Budget Office and the internet links it provides.

Table 3 Coalition commitments

	On going	One off
	$m	$m
Break bail face jail		
Remove emergency services levy		
Abolish GP tax		
Abolish the payroll tax on non-government schools		
Abolish the short stay levy		
Essential services guarantee		
Establish Construction Enforcement Victoria		
Exempt first homebuyers from stamp duty up to $1 million		
Land tax relief		
More PSOs	23	
Payroll tax relief		
3,000 additional police officers	578	
Reopen police stations		
Successful school starters		
Expand and upgrade Mildura Base Public Hospital		180
Duplicate Donnybrook Road and remove level crossing at Donnybrook train station		524
Upgrade Rochester Recreation Reserve		
Upgrade the Maroondah Highway and Killara Road intersection		20
New emergency department and refurbish intensive care unit Hamilton Base Hospital		45
$5 billion roads plan to eliminate potholes[23]		5,000
New secondary school in Mount Duneed		
Repair and rebuild Victoria's roads		
$250k for frontline support centre on the Mornington Peninsula		0.25
Rebuild Rosebud Hospital		
Upgrade Brighton Primary School		
Invest $100 million into youth crime prevention initiatives		100
Literacy and numeracy Guarantee		
Upgrade Wonthaggi Hospital		
Build new West Gippsland Hospital		
Support small business		
Support major events		
Publish real time emergency waiting and capacity information		
PSOs at major hospitals		
Provide targeted attraction and retention incentives for regional health workers		
Prioritise core maintenance functions of Parks Victoria		
Partner with private hospitals to deliver elective surgeries		

[23] Instagram at https://www.instagram.com/jesswilsonmp/reel/Day5JRBxrjg/

Establish a Horticulture Centre of Excellence		15
Mental Health Early Access Plan		132
Improve ambulance dispatch decisions and response times		
Fund additional hospital inpatient beds		
Expand the capital city zone		
Build new ambulance stations		
Boost recycling		
Restore effective wild dog control		
Total	**601**	**6,016**

Table 3 with all of the Coalition spending proposals makes it clear that there are gaps in the costings. The only on-going costs we could include are those we could estimate ourselves. Again, more they spend the bigger the deficit or the more public sector jobs cuts will be involved.

Conclusion

The Victorian Opposition's fiscal statement is an old-fashioned policy document saying they can spend on big promises funded through the magic pudding of cutting waste together with eliminating some programs for Indigenous people. The Opposition has decided to align itself with those who would doom Victoria with an austerity program rather than try to enhance the wellbeing of Victorians and address their needs.

The Victorian Opposition's fiscal strategy sets austerity targets that the evidence suggests cannot be met through the measures proposed. The centrepiece savings claim —$22 billion from a public sector hiring freeze —seems to account for the overwhelming majority of the cuts required for the Opposition to reach surplus by 2036-37, yet this item does not withstand scrutiny. This measure would require eliminating over half the entire core public service in Victoria, with significant consequences for employment and service delivery across the state.

The remaining proposals are either too vaguely specified to be costed or are unlikely to generate savings of the scale required. Several measures framed as cost-of-living relief would in practice deliver the greatest benefits to higher-income households and corporations rather than ordinary Victorians. Despite that they are likely to be expensive if ever implemented.

More fundamentally, the goal of returning the budget to cash surplus by 2032 reflects a misunderstanding of Victoria's fiscal position. The state's operating accounts are already in surplus; the deficit arises from capital investment that is growing the state's net worth and productive capacity. Pursuing a cash surplus would require withdrawing billions of dollars from the Victorian economy each year at a time when public investment is supporting growth, employment and essential services. It would also deny valuable infrastructure to the people of Victoria.

In short, the Opposition's fiscal plan as currently presented is not credible. The savings are illusory, the costs are real, and the underlying economic rationale is flawed.

To be clear, the aim of producing a surplus and reducing debt in the current environment would require cuts to government spending of at least $8 billion per annum. Those cuts reduce the income of the private sector and so reduce jobs in the private sector. On top of that, if the Opposition plans to cut staff costs by $22 billion could be achieved, that alone would cut employment in Victoria by 31,700 people.

Appendix: Labour market impacts of jobs freeze

In this appendix we attempt to estimate the effect of the Opposition's proposed culling of "back office" jobs which they estimate would save $22 billion over the 6 years to 2032.

In Victoria in 2024-25 there were 493,200 state public servants being paid $45.7 billion.[24] Under the Victorian projection of wage rates the wages bill would increase to $50.3 billion implying $102,041 per worker. To save $22 billion in steady increments over the 10 years to 2036-37 (when they claim to be able to achieve a surplus) would require spending that much less on employment.

Our estimates rely heavily on the Victorian Government budget estimates and projections of the various economic indicators, in particular, the employment and unemployment projections as well as wages growth.[25] We summarise them in Table 4. To fit the space we ignore every second year in the table.

[24] ABS (2026) Public sector employee jobs and cash wages and salaries, at https://www.abs.gov.au/statistics/labour/employment-and-unemployment/public-sector-employment-and-earnings/2024-25#data-downloads These figures differ slightly from the figures published by the Victorian Government.

[25] See Victorian Government (2026) *Budget Paper No 2: Strategy and Outlook, 2026-27* at https://s3.ap-southeast-2.amazonaws.com/vicbudgetfiles2026.27vicbudget/2026-27+State+Budget+-+Strategy+and+Outlook.pdf. Estimates here also rely on ABS (2026) *Labour Force, Australia, April 2026*, at https://www.abs.gov.au/statistics/labour/employment-and-unemployment/labour-force-australia/latest-release

Table 4: Labour market projections over the years to 2031-32.

	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Unemployment rate baseline %	4.75	4.75	4.75	4.75	4.75	4.75	4.75
Employment growth baseline %	1.5	1.25	1.5	1.75	1.75	1.75	1.75
Wage growth %	3.25	3.25	3.25	3.00	3.00	3.00	3.00
Employment baseline (December) '000 people	3,805.9	3,853.5	3,911.3	3,979.7	4,049.4	4,120.2	4,192.3
Unemployment baseline '000 people	191.7	192.2	195.1	198.5	201.9	205.5	209.1

Source: Victorian Government (2026) Budget Paper No 2: Strategy and Outlook, 2026-27

In Table 4 we used the government estimates and projections for the unemployment rate and employment growth. Because the Opposition has announced its policy to apply up to 2031-32 we have extended the government projections beyond the forward estimates[26] using the same procedure as the Victorian Government. Employment and unemployment numbers are based on ABS seasonally adjusted figures for Victoria at December 2025 projected forward based on Victorian Government projections for the growth in employment. Hence the figures in Table 4 are used to generate the baseline figures mentioned there.

The Opposition have nominated staff savings of $22 billion over 10 years. To see how that might work we set out a profile of savings that amount to $22 billion by 2036-37 and calculate a path of equal annual job cuts that would achieve that objective. We assume the reduction in public servants would have to be made in equal steps each year to fit in with separation rates and to minimise disruption. Our results for the reduction in employment costs are set out in the first row of Table 5.[27] The sum of that row would have been $22 billion if the missing years were included. From the ABS data mentioned above we calculate

[26] Forward estimates refers to the years to 2029-30.

[27] Table 5 gives the results of our modelling for selected years since, for space reasons we were not able to include all years to 2036-37.

the average wage or salary in each year based on the Victorian Government's forecast wage increases. Our results for job losses are given in the final row of Table 5.

Table 5: Calculating required job losses to meet Opposition target savings

The Australia Institute Research that matters.	2027-28	2029-30	2031-32	2033-34	2035-36	2036-37
Required reduction in employment costs $m	334	1,063	1,879	2,792	3,808	4,358
Average wage $k	105	112	119	126	133	137
Jobs lost	3,170	9,510	15,850	22,190	28,530	31,700

Source: author's calculations based on ABS (2026) Public sector employee jobs and cash wages and salaries and Wilson J (2026) *A Fresh Start for Victoria: Our Ten Year Plan to Secure Victoria's Economic Future*.

The results of our modelling show that 31,700 jobs would be lost by 2036-37. Notice we have assumed all the jobs lost would have attracted the average wage or salary for the year in question. If the redundant positions receive lower pay then the job losses would have to be so much higher again.

If indeed the job cuts in table 5 could be achieved then we can project how the lost jobs might affect the unemployment rate and/or the participation rate in Victoria. If all the job losses involved people declaring themselves unemployed then we would project the unemployment rate in Victoria to increase and reach 5.4% by 2036-37, an increase of 0.7% compared with the long-run baseline assumption of 4.75% unemployment.[28] If half the job losses involve people leaving the workforce rather than being officially recorded as unemployed, then the recorded unemployment rate would increase to a lower rate of 5.1%.

All of the calculations to this point have assumed the policy is feasible. Now we question whether that is the case.

The Victorian Public Service Commission says that in 2025 there were 58,169 people employed in the public service as distinct from 335,494 people employed in public entities. The Commission says, "Examples of public entities include public health services, government schools, TAFEs, police and emergency services, water and land management bodies and other statutory authorities and state-owned corporations."[29]

[28] As this is being written Victoria's unemployment rate for July 2026 is 5.1%.

[29] Victorian Public Service Commission (2026) Number of employees 2025, at https://www.vpsc.vic.gov.au/public-sector-data/workforce-data-state-public-sector-2025/employee-and-executive-numbers-2025/number-employees-2025

Staff cuts of 31,700 by 2036-37 would include over half of all the staff of the public service and would necessarily include more than just "back office roles". We do not have sufficient data to estimate what the Opposition might mean when it refers to back office roles but assuming that applies to 15% of the 58,169 people employed in the public service, then we are talking about roughly 8,700 people among whom the Opposition's savings might be directed. By contrast our results, which are based on a gradual increase in jobs lost, would require over 3,170 jobs lost in the first year alone. Had the Opposition checked the figures, they would have to concede there are some back office roles that are nevertheless essential meaning that their policy could only impact some fraction of the 8,700 people in genuine back office work.

Putting it simply, the idea of getting rid of some back office staff could only ever achieve a very small fraction of the $22 billion claimed.

There is a suggestion that some of the Opposition's staff cuts would be made against the Opposition's belief that public service numbers were "close to 50,000 and was expected to grow to more than 63,000 by 2036".[30] There are no official projections for staffing, just employee expenses over the forward estimates. The data for projected employee expenses are consistent with zero growth in employment over the forward estimates for all government employees including frontline staff. Hence employee expenses are projected to grow from $42.4 billion in 2025-26 to $47.9 billion in 2029-30 or just 3.07% per year.[31] The latter figure is consistent with Victoria's assumptions about wages growth generally in the state. Note too that over the last 4 years the number of public servants has actually shrunk.[32]

We cannot know why the Opposition would think public servant numbers, as distinct from frontline staff, would increase. But without showing there are official projections based on staffing increases we cannot accept that any freeze on numbers alone would produce a genuine reduction in outlays.

[30] Durkin P (2026) "Victorian Liberals' $22b plan to freeze public servant jobs", *Financial Review*, 8 May at https://www.afr.com/policy/economy/victorian-liberals-22b-plan-to-freeze-public-servant-jobs-20260507-p5zuu0

[31] Victorian Government (2026) *Statement 5: Strategy and Outlook 2026-27* p 67

[32] Victorian Public Sector Commission (2026) *Number of employees 2025*, at https://www.vpsc.vic.gov.au/public-sector-data/workforce-data-state-public-sector-2025/employee-and-executive-numbers-2025/number-employees-2025